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1D

A-Description about **Value judgements** and **emotions** represents normative statements.

B- Similarly, normative statements are **biased** and are based on **opinions and tastes**.

C-Thirdly, it is normative statements that are **subjective** .

D-Fourthly, positive statements are **objective statements** based on **facts** which can be **tested** ; therefore , making this correct.

2B-

A- This statement represents a **market economy** as all decisions about resource allocation are taken by the private sector.

B- This represents a **planned economy** as all decisions about resource allocation are taken by the government.

C- Similarly, this represents **mixed economy** as it is in a mixed economy that resource allocation is done by both: the govt and the private sector.

D-Price mechanism determines resource allocation in a **market economy**.

3A:

All points on the production possibility curve are achievable points that can be attained using given resources.

Therefore, points **W and X** show the combination outputs of food and computers that the economy can produce ,making it correct.

4- A:

This is correct since money facilitates the performance of transactions among buyers and sellers ,making it effectively functioning as a **medium of exchange**.

Similarly, due to its ability to retain purchasing power or value that can be made use of in the future, it does perform the function of **store of value**.

Additionally, since it performs the function of **unit of account**, it can be used to measure the value of assets and wealth in monetary terms , thus making A correct.

5-C:

A-The demand coming in from a wide range of customers does not mean that the price elasticity of supply is relatively lower .

B- When producers can easily switch to making the product, this means that the price elasticity of supply is higher.

C- Manufacturing of goods requiring highly skilled labor , may be challenging , as it may be difficult to acquire and obtain labor and it may also require payment of higher wages, which means that the **supply will be relatively price inelastic**. This is because output cannot be supplied quickly , making this correct.

D-When the raw material is abundant in supply, this means that the supply will be price elastic and the responsiveness to demand will be higher.

6A

→ Initially, at the equilibrium point of H, the consumer surplus , that is , the region above the price line "P1" and below the demand curve 'D' is "**ABE**".

Now, as the price is raised from P1 to P2, the consumer surplus at a higher price level will be lowered to "**A**"

Therefore, option A , which states that consumer surplus falls from "**ABE**" to "**A**" is correct.

7-C:

A- In a free market economic system, price mechanism never ensures that resources are allocated to the greatest needs. It involves itself in producing all those **goods that are preferred by consumers ,or in other words , consumer preferences**(signaled through a rise in demand) , for only those **who can afford it**.

B: Price mechanism never ensures a fair and an equal distribution of goods. It only ensures that those who are willing and able to purchase the good or in other words, those having an effective demand are left to purchase the good, as through the rationing mechanism," prices ration scarce resources"

C; In case of **price mechanism** ,prices are determined by the market forces of demand and supply; therefore , making this correct.

D; They do not ensure that everyone benefits, as goods are produced for only those who have the ability to purchase it.

8-C

A: Advertising would not lead to a leftward shift in the demand curve of the product **and it instead increases the demand for the product(since these techniques make the good appear attractive to consumers)**, and the reason given to justify this decrease in demand is said to be that it raises the price of the product, which is incorrect.

B: Advertising would not result in the rightward shift of supply curve " when the cost of firm increases", instead it would have resulted in a fall in supply.

C- Successful advertising has the potential to attract and influence consumers or **nudge them** to purchase the good, which will result in a rightward shift in demand curve ,this making it correct.

D: Advertising would not result in a fall in supply as successful advertising enables firms to sell more.(The statement should be that it results in an extension in qty supplied , as a result of rise in demand due to advertising)

9-B:

A: It's not important to calculate PED to provide retail statistics to the government.

B -To predict the change in its total revenue after it raises prices is the most likely reason for a firm's decision to calculate the price elasticity of demand for its product. Price elasticity of demand measures the responsiveness of quantity demanded to a percentage change in price. By knowing the price elasticity of demand, a firm can estimate how much the quantity demanded of its product will change in response to a price change. This information is useful in making pricing decisions because it allows the firm to predict the impact of a price change on its total revenue. **If the demand for the product is elastic (meaning the quantity demanded changes significantly in response to a price change), then a price increase may lead to a decrease in total revenue (this is because of a negative relationship between price and revenue in case of elastic demand),** while a price decrease may lead to an increase in total revenue. Conversely, if the demand for the product is inelastic (meaning the quantity demanded changes little in response to a price change), **then a price increase may lead to an increase in total revenue (this is because of a positive relationship between price and total revenue in case of inelastic demand),** while a price decrease may lead to a decrease in total revenue.

C- Although it may help to assess the competition and the **competitive position of the firm**. If the demand is inelastic , there are other measures more strongly related to this issue for example : **market share**

Option D- suggests that the firm wants to complete consumer satisfaction surveys, but price elasticity of demand is not directly related to measuring consumer satisfaction. Instead, firms might conduct surveys to determine what factors influence customer satisfaction or to gather information about customer preferences.

10:C-

The positive value of XED of +1.5 of good **S with respect to the price of good P** represents that they are "substitutes"

Additionally, the negative value of XED of -1.5 of good S with respect to price of good R suggests that S and R , are "complements" . In addition to which, the negative value of XED of -1.5 of good P with respect to the price of good R ,**represents that P and R are" complements "**

That being said, option C will be correct

11-A-

A- A decrease in consumer incomes will result in a fall in demand of normal good ,causing it to shift leftwards.

Similarly ,an increase in the price of a substitute good will lead to an increase in the demand for a good, because of a positive relationship between the price of one good and the demand for another in case of substitutes, causing the demand curve to shift rightwards.

A shift towards the right ,followed by a shift towards the left, will leave the demand curve in the same position, making this correct

B: A decrease in consumer incomes will lead to a fall in demand for the normal good, and similarly, an increase in the price of a good will lead to a movement along the demand curve and this means that the position of demand curve will not stay in the same position.

C- An increase in consumer incomes will increase demand, and similarly, an increase in the price of a substitute good leads to an increase in the demand for the good. This actually means that the demand curve will shift towards the right ,and the position will change.

D- An increase in consumer incomes will lead to a rise in demand for normal goods, whereas an increase in the price will lead to a movement along the demand curve and subsequently the demand curve's position will change.

12-A:

A-Since , in case of public goods, which exhibit the features of non-excludability and non-rivalry, there is an existence of free rider problem that is when consumers are aware that they'll enjoy the equal benefits of these goods without paying for them as those who pay for them , therefore they would never be willing to pay for them, this means that it is difficult to set a price for them, in other words, there is no mechanism to charge prices for them, therefore **"prices would not determine the supply of public goods"**. Since this "does not happen", the following option becomes correct.

B: Yes, it is true that prices operate in a market for both : consumer goods and factors of production for example: capital goods.

C: Prices recognize consumers' ability to pay as only those who are willing and able to pay ,or in other words, those having effective demand are left to purchase the good, **as prices perform the function of rationing and ration scarce goods.**

D- Price provides a signal to the producer to allocate resources in a profit maximizing manner. This statement is right, therefore it becomes "incorrect."

13-A:

A: In case of a disequilibrium, **prices are likely to change**, as for example, when there is a shortage, there is an upward pressure on prices, and in case of a surplus, there is a fall in prices.

B: In case of a disequilibrium, the supply is not equal to demand.

C: The government may not necessarily always intervene to correct a market disequilibrium, as in case of free market economy, prices adjust themselves to eliminate any shortages, for example, by performing the function of rationing

D; There may not be necessarily shortages. Surpluses are also regarded as disequilibrium.

14-D:

D: Removing tax-free allowances for income tax means that individuals with lower incomes would have to pay income tax on their entire income, which would **disproportionately affect those with lower incomes**.

Extending sales tax (VAT) to include all food would **also disproportionately affect those with lower incomes** since they tend to spend a larger proportion of their income on essential items like food. **This would lead to a higher tax burden for low-income households compared to high-income households.**

This is why, D becomes correct.

Option A: Increasing rate of wealth tax and raising the rate of sales tax on luxury products.

This option may have a more significant impact on high-income households, as they are more likely to own luxury products and have substantial wealth. Increasing the wealth tax rate would affect those with high levels of wealth since "wealth tax is a direct tax which is progressive in nature", while raising the "sales tax rate on luxury products would target those who purchase expensive items."

B- Similar to option A, introducing a property tax, and raising the rate of income tax, may also have a more progressive effect since **any tax that is imposed on income and wealth of individuals is a direct tax, which is "progressive in nature"**, as this affects the higher income groups more.

C- Although income taxes that are progressive in nature are reduced, there is still an element of "direct tax" in effect, **as the progressive tax is still there, and is not removed**. However, increasing the duty on fuel will have a regressive effect since it disproportionately affects lower-income groups who spend a greater proportion of their income on fuel.

15-D :

$$QD=QS$$

$$1500+50P = 300 P-2000$$

$$1500+2000 = 300p-50p$$

$$3500= 250 p$$

$$P= 14(\text{equilibrium price})$$

The government has imposed the price of 15, that is higher than the equilibrium price, this represents a legally imposed price floor or an "effective minimum price"

As a result of which, the qty supplied will extend, and qty demanded will contract, leading to a surplus or in other words "excess supply"

This is why D is the answer.

16-D:

Government's attempts to introduce a subsidy on cars powered by batteries will increase the supply of cars, and an increase in qty demanded (consumption of these cars).

And since they make use of batteries that are charged from electricity, this will result in a rise in demand of electricity .

When demand for electricity rises, the willingness of consumers to pay a higher price increases and because of a shortage, **the equilibrium price increases.**

Similarly, upon a rise in price, the producer will be signaled and incentivized to extend **quantity supplied resulting in a rise in sales of electricity .**

This is why D will be the answer.

17-D

A and B: Bank deposits and cash may be involved, as if a government involves itself in provision of welfare benefits, for example, unemployment benefits, this will lead to a requirement of finances.

C: Government intervention may be there when providing transfer payments, as at times governments provide transfer payments such as : unemployment benefits.

D: Importantly, transfer payments are payments made without goods and services being received in exchange, and since because of them no contribution is made in GDP, this means that, production or any activity that contributes to GDP is definitely not included.

18-D:

A- Public goods are non-excludable, and this is the basic characteristic of public goods, thus making this incorrect.

B-Public goods may lead to an **increase in resource allocation up to the socially optimum levels of output** since non-provision by private sector leads to a “market failure” ,this is why this becomes incorrect.

C-Additionally, opportunity cost will always exist as when the govt increases spending on public goods, it will have less funds left to finance merit goods ,for example.

D: Government is most likely to finance them by tax revenues, this means that it is unlikely that taxes are reduced in case of an increase in provision of public goods.

This is why, this becomes correct.

19: A

Upon a fall in domestic demand ,which resulted in a fall in sales, **the impact in form of tremendous falls in revenues of producers was feared.**

A - This impact would have been lessened if exports had increased(as in option A) as the surplus stock ,when sold in export markets to foreign countries , would result in a rise in export revenues , making up for a fall in revenues domestically.

B: Similarly, a rise in imports would have a worsening effect on the economy as when domestic demand is replaced with demand of imported goods ,domestic industries will suffer.

C- Upon an increase in savings, the consumption would further decrease, harming the producers more.

D-If taxes increased, then this impact of a fall in domestic demand would not lessen. Instead, a fall in disposable incomes would lead to a further fall in consumption expenditure and would in turn harm domestic industries.

20-C :

A- A trade weighted exchange rate does not account for a country's terms of trade.

B-A trade weighted exchange rate does not account for international trade as a proportion of a country's national income

C: Importantly, it takes account of a relative value of international trade done with a country's trading partners, making it correct. **The trade-weighted exchange rate is an index created by the Fed to measure the value of the USD, based on its competitiveness versus trading partners. “The index gives importance to currencies most widely used in international trade.”**

D : It does not account for the size of a surplus or a deficit.

21-D

A: When export prices fall by a greater percentage than import prices, the terms of trade would deteriorate.

B: When export prices fall and import prices rise, there would be a worsening effect on the terms of trade.

C: When export prices rise by a smaller percentage than import prices, the terms of trade would fall.

D: Importantly, if export prices rise by a relatively higher percentage, than a rise in import prices, then terms of trade would actually "rise"

22-C

A: The prices of goods and services rose between 2013 and 2014, even though the rate of rise was less, representing disinflation, prices still rose.

B: Between 2014 and 2015, there has been a fall in the general price level representing deflation rather than disinflation, which means that this becomes incorrect.

C: The purchasing power of money increased between 2014 and 2015, this is because of deflation, as when the general price level falls, the purchasing power of money rises, that is, \$1 can be used to purchase more goods and services than before, thus making this correct.

D: The cost of living rose from 2016 onwards due to inflation

23-C:

Countries operating a fixed exchange rate regime may choose to devalue if their exports become uncompetitive.

A: A decrease in the rate of domestic inflation relative to the inflation rates of other countries would make the export-oriented goods competitive, leading to no need of devaluation.

B: Similarly, a decrease in tariffs imposed by other countries, will lead to exported goods becoming competitive, meaning that, no need is there to devalue the currency.

C: Similarly, an increase in current account deficit with other countries means that this may be because of un-competitiveness of export-oriented goods, as a result of this widening deficit, countries may be pressurized to devalue their currency, this is why this becomes correct

D: Similarly, an increase in country's interest rates relative to the interest rates of other countries, would increase savings in the domestic economy, resulting in a fall in consumption and also investment expenditure reduces, due to a rise in costs of borrowing, which means that the Aggregate demand falls.

A decrease in the rate of demand pull-inflation relative to the inflation rates of other countries would make the export-oriented goods competitive, leading to no need of devaluation.

24-A:

According to the Marshall Lerner condition, **devaluation is beneficial in the long run when the sum of price elasticity of demand for imports and exports is greater than 1**. As can be seen in options B,C and D the sums are 1.1, 1.1, 2.4 respectively. This means that these options will be incorrect.

This means that there will be a worsening effect on the country's current account position in the short run when the combined price elasticities of demand for imports and exports is lesser than 1, as with option A in the case of which, the sum is $0.3+0.3$ i.e. 0.6, making this correct-

25:B

When tariffs are imposed, the world supply that is perfectly elastic, as a single producer cannot influence the price level of international market, shifts upwards to world supply plus Tariff and the price of smartphones is **artificially inflated or made to rise due to tariffs**.

This means that the domestic prices of smartphones will rise making (option B) correct.

A- Whether or not a successful switch occurs and the **domestic demand for smartphones rises depends upon price elasticity of demand**, as this will be true when the demand is elastic.

C- C is incorrect as because of Tariffs, the government will gain tax revenue instead of losing.

D-The supply of imports depends upon the price elasticity of supply of producers involved in selling imported goods

26-D:

A- An embargo is a complete ban on imported goods and is not presented in this case.

B- This does not represent export subsidy either as no financial incentives are shown to be given.

C- A quota is a physical limit on imported goods, and is not shown in this case.

D-When two countries voluntarily agree to restrict their exports in the each other's country over a given period of time as in this case, Japanese manufacturers have agreed to limit car exports to USA, this is referred to as a voluntary export restraint, this is why this is correct.

27-C

A- An expectation of a rise in inflation is most likely to affect **confidence of individuals, as inflationary expectations may lead to consumers increasing consumption in the short run, thinking that prices will rise significantly in future, therefore increasing Aggregate demand, resulting in demand pull inflation in actual.**

B: When consumers face a fall in their disposable income, this would reduce the actual purchasing power, and in turn lead to a fall in consumer confidence as Average Propensity to consume rises, as consumption would now take up a larger proportion of household disposable income, leading to a fall in consumption and in turn Aggregate demand.

C: When the costs of domestic producers increase as a result of rise in prices of imported oil, which had led to a rise in import expenditures, this will lead to the Short Run Aggregate Supply curve to shift leftwards, making this correct.

D: When the government reduces tax on oil and petroleum products, this will reduce costs of production causing the Aggregate supply curve to shift rightwards

28: A

A: If a budget deficit is decreased, this implies that either the tax revenues have increased as a result of a rise in taxation or government spending has fallen. When taxes, for example income tax rises, this will decrease the disposable income of individuals, leading to a fall in consumption and this would lead to a fall in Aggregate demand, as both: consumption and government spending are components of Aggregate demand, leading to a fall in rate of inflation.

B: If direct taxes are decreased, this will increase the disposable income, which will stimulate consumption and in turn Aggregate demand leading to inflation when Aggregate demand exceeds Aggregate Supply.

C: A decrease in exchange rate or for example, devaluation, in the long run, when makes export-oriented goods appear relatively cheaper, will lead to an extension in international qty demanded by a relatively higher percentage, leading to a rise in export revenues relative to import expenditures which will fall, as since imported goods appear relatively expensive, there is a contraction in qty demanded by a relatively higher percentage. This Balance of Trade surplus represents net injections into the circular flow, because of which Aggregate demand will increase, increasing the likelihood of inflation.

D: A decrease in interest rate will reduce the incentive to save, and will thereby increase consumption leading to a rise in Aggregate demand, increasing the possibility of inflation.

29-B

A: An increase in budget deficit is a part of expansionary fiscal policy, as this is when the government increases government spending and reduces tax revenues further.

B: An increase in budget surplus implies a rise in taxation to increase tax revenues and a fall in government spending, which is a part of contractionary fiscal policy, this is why this is correct.

C and D: An increase in interest rate and changes in money supply imply the usage of monetary policies.

30-A

A: A depreciation of the currency will lead to exported goods appearing relatively cheaper leading to an extension in international qty demanded by a relatively higher percentage ,when the demand for them is elastic , leading to a rise in export revenues and it may lead to a fall in import expenditures too due to imported goods appearing relatively expensive. This balance of trade surplus will lead to an improvement in current account of balance of payments, and since it increases net injections into the circular flow, this would lead to a rise in Aggregate demand relative to Aggregate supply, **leading to demand pull inflation**, this is why this is correct. A rise in Aggregate brings about a rise in incomes, output and **“employment”**.

B: Higher direct taxation will reduce disposable income, in turn leading to a fall in consumption and Aggregate demand, representing a fall in demand pull inflation. It results in a downward multiplier effect in terms of a fall in incomes, output and unemployment, this is why this is incorrect.

C: Higher import tariffs, assuming that the demand is inelastic , would not lead to a switch to domestic industries, making them relatively less effective in maintaining low unemployment, and in turn result in cost push inflationary pressures. Tariffs are more likely to result in cost push inflation as they raise prices domestically too. **Cost push inflation is when rising prices are accompanied with high unemployment, representing stagflation, this is why this is incorrect**

D: Higher interest rates will increase savings, in turn reducing consumption and Aggregate demand, representing a fall in demand pull inflation. It results in a downward multiplier effect in terms of a fall in incomes, output and a rise in un-employment, this is why this is incorrect.

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